

COINBASE GLOBAL, INC.

(NASDAQ: COIN)

The premier onshore exchange — capitalizing the mania as the run rate

SELL — \$100.00 Target

Equity Research Note · Financials — Crypto Exchange & Digital-Asset Infrastructure · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
SELL	\$100.00	\$183.00	-45.4%	High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$52 bn (285 m diluted sh × \$183.00)	Net cash	~\$7.0 bn
52-week range	~\$139 – \$402	Diluted shares	~285 m
Price / fair value	\$183.00 / \$100.00	Revenue character	Retail trading volume: among the most cyclical streams in financial markets
Implied downside	–45.4% — the widest in our coverage	Next catalyst	Q3 2026 earnings (late October)
FY2025 revenue / FCF	\$7.18 bn / ~\$2.3 bn	Sell-side view	Mixed — bulls price regulatory clarity; bears price the cycle

1 Investment Thesis

Coinbase is the premier onshore crypto exchange: the most trusted brand in the industry, the custodian of choice for the spot bitcoin ETFs, and a genuine beneficiary of improving US regulatory clarity. These are real strategic assets, and in a bull market for digital assets the company's operating leverage is spectacular — incremental trading volume drops almost entirely to the bottom line. None of that is the SELL. The SELL is the price.

The problem is that the operating leverage works in both directions, and crypto trading volume is among the most cyclical revenue streams in financial markets. Retail participation — the source of Coinbase's highest-margin take rates — surges during speculative manias and evaporates in drawdowns; history shows 50%+ volume contractions are routine, not tail events. At \$183.00 the market is capitalizing elevated-cycle trading revenue as though the mania phase were the permanent run rate. Our probability-weighted fair value is \$100.00 — bear \$46.90, base \$95.66, bull \$166.04 — 45% below the quote, the widest downside in our coverage, reflecting the violence of crypto revenue cycles. Even the bull case (\$166), which assumes sustained institutional adoption and growing subscription revenue, sits 9% below the current price.

The structural pressures compound the cyclicity. Zero-commission crypto trading at traditional brokerages is compressing retail take rates across the industry; sophisticated volume increasingly migrates to venues competing on fractions of a basis point. Subscription and services revenue — staking, custody, USDC interest, Base sequencer fees — is growing and diversifying, but remains a minority of the total and is itself partly crypto-price-linked. And one consideration cuts against the entire bull thesis: Coinbase's valuation embeds the assumption that crypto's institutionalization accrues primarily to Coinbase. But institutionalization commoditizes access — ETFs, bank prime brokerage, and tokenized traditional assets all route around the retail exchange model. The more legitimate crypto becomes, the more competition Coinbase faces from institutions with lower cost structures and deeper distribution. Success of the asset class and success of this equity are diverging, and the price assumes they are the same trade. Regulatory clarity is a genuine long-term positive — but it is already in the price several times over. SELL.

Why the market will care (eventually)

- **Operating leverage is symmetric.** The same cost structure that drops incremental volume to the bottom line in manias keeps the costs when volume falls 50%+. The earnings power the multiple prices is the top of the cycle, not the middle.
- **Take-rate compression is structural, not cyclical.** Zero-commission crypto at traditional brokerages resets the retail pricing anchor permanently. Every future mania will monetize at lower take rates than the last.
- **Institutionalization is a double-edged sword.** ETFs and bank prime brokerage legitimize the asset class while routing volume around the retail exchange. The more crypto wins, the more Coinbase competes with lower-cost incumbents.

2 Business Overview — What Coinbase Global Is Doing

(Remote-first (no formal headquarters); CEO Brian Armstrong)

Coinbase operates the largest US crypto exchange across two customer segments: retail (the high-take-rate consumer platform) and institutional (Coinbase Prime, custody — including custody for the spot bitcoin ETFs — and advanced trading). Revenue splits into transaction revenue, which scales with trading volume and volatility, and subscription and services — staking rewards, custodial fees, USDC reserve interest, and Base sequencer fees — which is steadier but still partly linked to crypto prices and rates.

The strategic assets are real: the most trusted onshore brand after a decade of offshore exchange failures, the ETF custody franchise, the USDC partnership economics, and Base — the leading Ethereum Layer-2 by activity — whose sequencer fees are a genuinely new, high-margin revenue line. The regulatory trajectory has also turned favorable: the end of regulation-by-enforcement and progress on market-structure legislation de-risk the operating environment that once threatened the business model itself.

But the business remains, at its core, a volume-tax on speculation. Transaction revenue still dominates, retail take rates are multiples of institutional, and retail participation is the most sentiment-driven variable in financial markets. Diversification is progressing — it has not yet changed what the company fundamentally is.

What the company is doing now

- **Retail exchange: the profit engine and the cycle.** Highest-margin take rates in the industry, earned on the most sentiment-driven volume in financial markets. Spectacular in manias; evaporates in drawdowns.
- **Institutional & ETF custody: the trust moat.** Custodian of choice for spot bitcoin ETFs; Prime serves the institutional flow. Trust and compliance are the moat — but institutionalization invites bank prime-brokerage competition.
- **Subscription & services: growing, still a minority.** Staking, custody fees, USDC interest, Base sequencer fees — steadier, diversifying, but partly crypto-price- and rate-linked. Not yet the ballast the bull case needs.
- **Base: the genuine new asset.** A leading Ethereum Layer-2 with real sequencer-fee economics — the rare Coinbase revenue line that isn't a tax on trading volume.

3 Financial Analysis

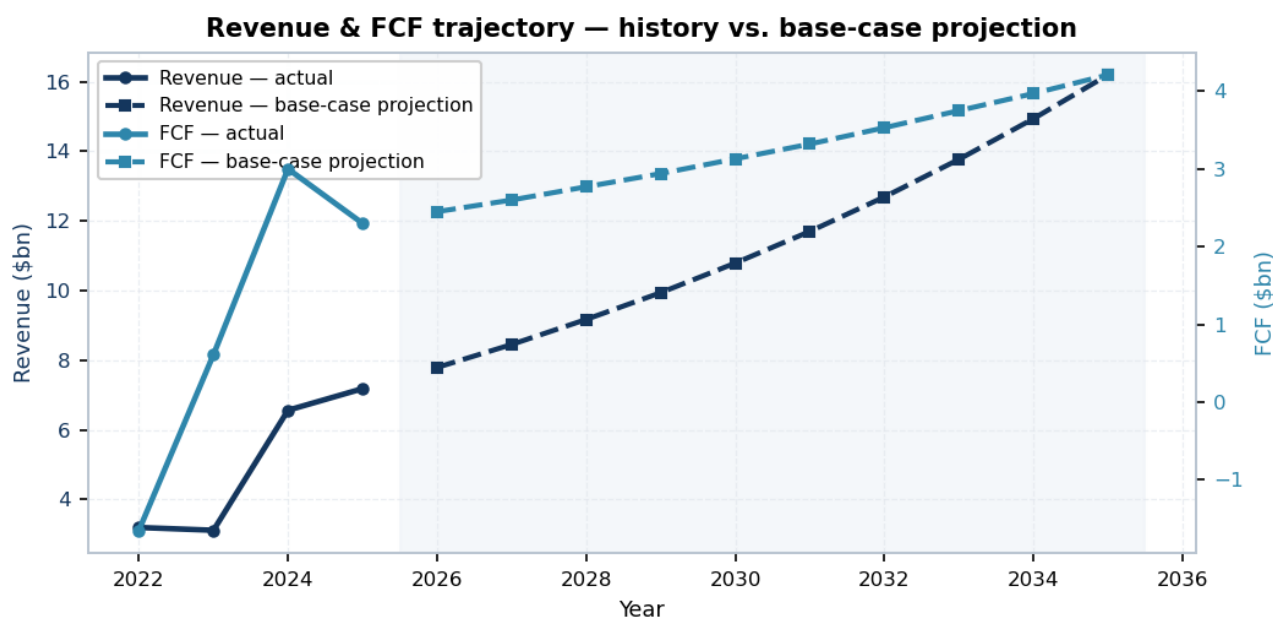
\$bn	FY2022	FY2023	FY2024	FY2025
Revenue	3.19	3.11	6.56	7.18
Free cash flow (OCF – capex*)	–1.65	0.61	3.00	~2.30
FCF margin	–52%	20%	46%	~32%
Net cash	—	—	—	~7.0

*Company filings via Yahoo Finance. *Capex undisclosed for 2024–25 and treated as negligible (~\$0.1B). The FY2022–FY2024 revenue near-doubling and \$4.6B FCF swing illustrate the symmetric operating leverage.*

The financial history is the cyclical thesis in numbers. Revenue was \$3.19B in FY2022 (the last winter), \$3.11B in FY2023, then \$6.56B in FY2024 and \$7.18B in FY2025 as the cycle turned — a near-doubling in two years on volume recovery. Free cash flow (operating cash flow less capex; capex undisclosed for 2024–25 and treated as negligible) swung from $-\$1.65\text{B}$ in FY2022 to $+\$3.0\text{B}$ in FY2024 and $\sim\$2.3\text{B}$ in FY2025 — a $\$4.6\text{B}$ swing that demonstrates both the operating leverage and its symmetry.

The balance sheet is a fortress: $\sim\$7.0\text{B}$ of net cash, which is why equity value ($\$27.3\text{B}$ base case) exceeds enterprise value ($\$20.3\text{B}$). That cash supports the valuation but doesn't change the earnings cyclical — it just means the company survives winters comfortably. Terminal value is 46% of base-case EV (54% bull, 40% bear): the out-years carry real weight, which is appropriate for a franchise asset but punishing if the terminal year is priced off mania earnings. Our terminal year uses normalized 26% FCF margins — deliberately below today's $\sim 32\%$.

Revenue & cash-flow trajectory



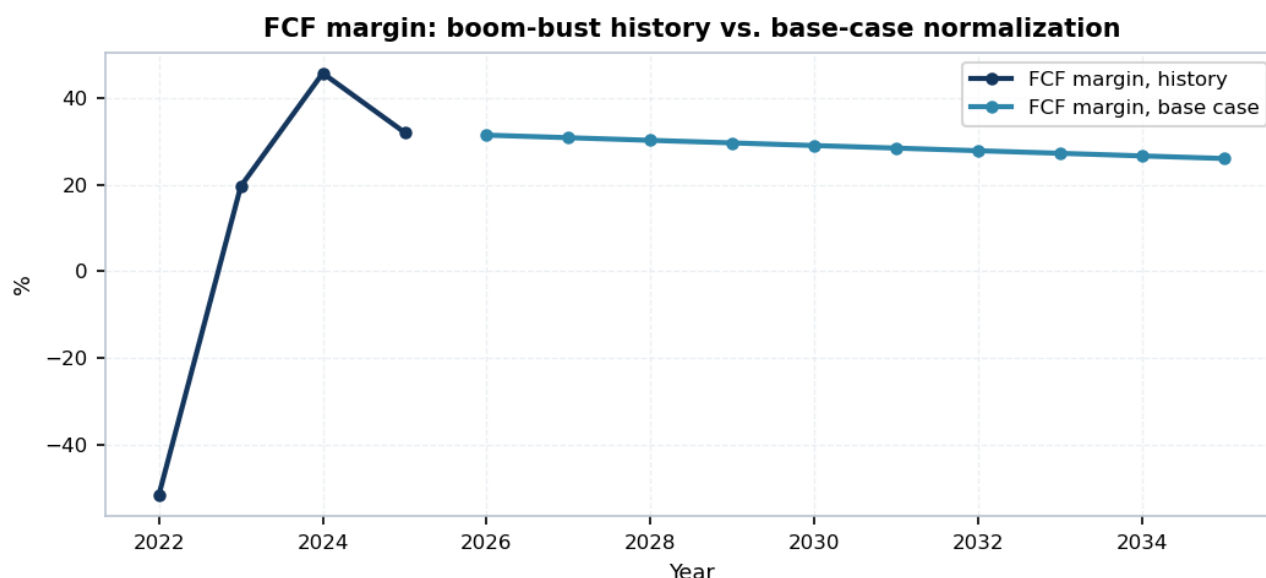
History: company filings via Yahoo Finance (FCF = operating cash flow less capex; capex undisclosed for 2024–25, treated as negligible).

Projection: base-case path — revenue at 8.48% CAGR with FCF margins gliding from $\sim 31\%$ toward a normalized 26% as take rates compress.

4 Moat & Competition

- **Onshore trust after a decade of offshore failures.** The most trusted US brand in an industry defined by counterparty collapses — a genuine, hard-won asset that regulation now reinforces.
- **ETF custody franchise.** Custodian of choice for spot bitcoin ETFs: sticky, institutional, and reputationally self-reinforcing — the closest thing to an annuity in the business.
- **USDC economics and Base.** Reserve-interest income on the leading regulated stablecoin plus the leading Ethereum L2's sequencer fees — real, growing, non-transaction revenue lines.
- **The moat's limits: the volume tax and the commoditization paradox.** Trust doesn't prevent 50% volume drawdowns or take-rate compression — and institutionalization, the bull case's best argument, invites bank prime-brokerage competition with lower costs and deeper distribution. The moat protects the franchise; it doesn't repeal the cycle.

FCF margin: boom-bust history vs. base-case normalization



5 Valuation — 10-year scenario DCF, Fair Value \$100

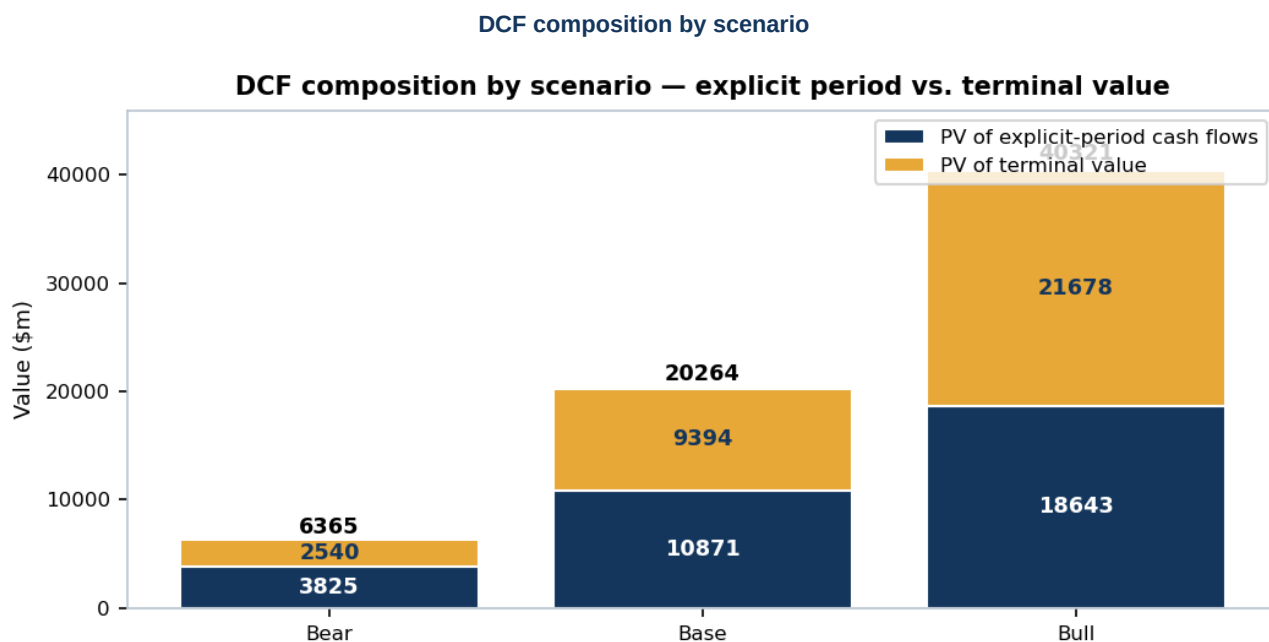
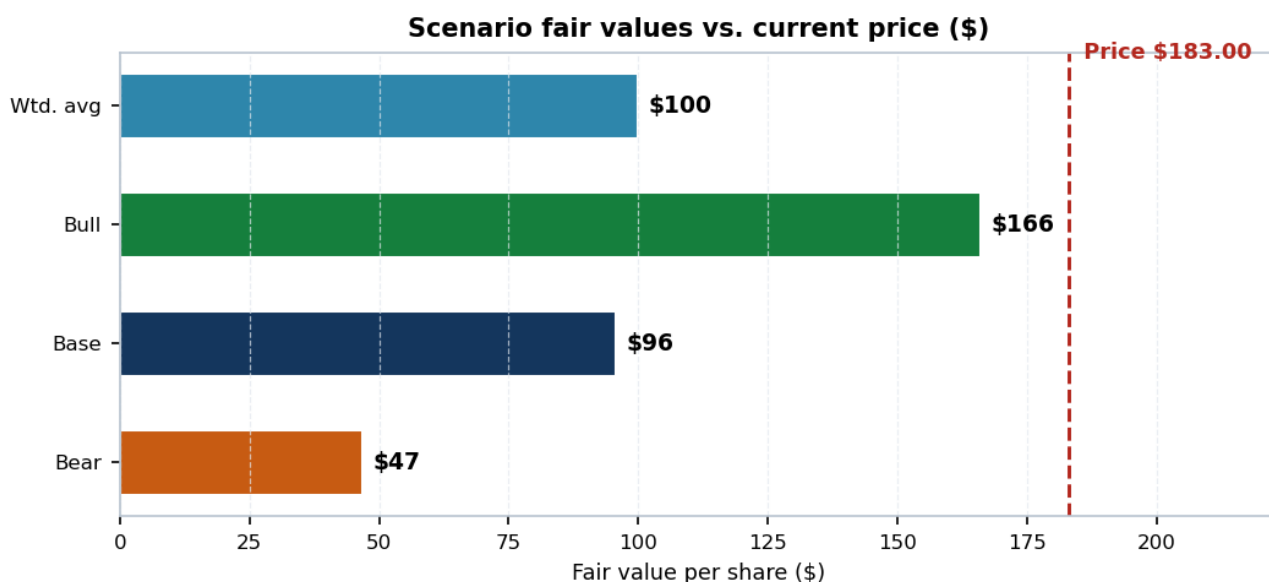
We value Coinbase on a 10-year scenario discounted-cash-flow framework, weighted 25% / 50% / 25%. Discount rates reflect a highly cyclical financial with crypto-volume beta: 12% base WACC, 14.5% bear (+250bp), 10.5% bull (–150bp). Terminal growth is 1.5% (bear) / 2.5% (base, bull), applied to year-10 free cash flow at normalized margins (20% / 26% / 28%) — deliberately below today's elevated ~32%, because the terminal year must not be priced off mania earnings.

Revenue compounds from the \$7.18B FY2025 base at 2.83% (bear — the routine crypto winter) / 8.48% (base — moderation, not collapse) / 13.61% (bull — institutionalization fully realized). Scenario fair values: \$46.90 / \$95.66 / \$166.04; the probability-weighted \$101.07 rounds to our \$100 target — 45.4% below the \$183.00 close. Equity is EV plus ~\$7.0B of net cash over ~285m diluted shares. Terminal value is 46% of base-case EV (54% bull, 40% bear) — no haircut required.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Routine crypto winter: 50%+ volume contraction; retail participation evaporates; 2.83% revenue CAGR; 20% year-10 FCF margin; 14.5% WACC.	+2.8%	20%	14.5% / 1.5%	40%	\$46.90
Base	Cycle moderates without collapse: 8.48% revenue CAGR; take-rate compression continues; FCF margins normalize to 26%; 12% WACC.	+8.5%	26%	12.0% / 2.5%	46%	\$95.66
Bull	Institutionalization realized: 13.61% revenue CAGR; subscription revenue scales; 28% year-10 FCF margin; 10.5% WACC.	+13.6%	28%	10.5% / 2.5%	54%	\$166.04
Wtd. avg	Probability-weighted (25/50/25) → \$100.00 target					\$100.00

Composition PVs are taken directly from the scenario DCF model (\$m); equity = EV + ~\$7.0B net cash over ~285m diluted shares.

Scenario fair values vs. current price (\$)



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$m. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Volume cyclicality (High).** 50%+ trading-volume contractions are routine, not tail events; retail participation — the highest-margin volume — evaporates in drawdowns.
- **Take-rate compression (High).** Zero-commission crypto at traditional brokerages resets the retail pricing anchor; sophisticated volume migrates to basis-point venues.
- **Commoditization via institutionalization (High).** ETFs, bank prime brokerage, and tokenized traditional assets route around the retail exchange model — success of the asset class and success of the equity are diverging.
- **Regulatory reversal (Medium).** Clarity has improved markedly, but crypto regulation remains political; adverse shifts would hit the onshore premium directly.

- **Crypto-price linkage of 'stable' revenue (Medium).** Staking, custody, and USDC income are steadier but still partly linked to asset prices and rates.
- **Competition (Medium).** Offshore venues on price, traditional brokers on distribution, banks on prime — attacked from every side of the cost curve.

What would change our mind

We would revisit the SELL if: retail take rates stabilize and grow (evidence the compression thesis is overstated); subscription and services become the revenue majority and demonstrably decouple from crypto prices; Base sequencer fees scale into a material standalone profit pool; or regulatory clarity drives sustained institutional volume that Coinbase captures in prime brokerage rather than ceding to banks. Any one of these would change the earnings durability the valuation assumes. We watch: blended take rates by quarter, subscription revenue as a share of total, Base fee trends, ETF custody mandates, and retail volume versus prior cycle peaks.

7 Methodology

We value Coinbase on a 10-year scenario discounted-cash-flow framework, probability-weighted 25% / 50% / 25%. Revenue compounds from the current base under scenario CAGRs while free-cash-flow margins glide from current elevated levels to normalized scenario terminal margins — the terminal year is never priced off mania earnings.

Discount rates are scenario-specific — 14.5% bear, 12% base, 10.5% bull — and terminal growth is 1.5% (bear) / 2.5% (base, bull) on year-10 free cash flow. The bear case is required to be genuinely adverse and to sit below the current price; terminal value exceeding 70% of enterprise value is haircut and disclosed (46% base, 54% bull, 40% bear — no haircut required). We cross-check against mid-cycle earnings power.

The published target is the probability-weighted fair value rounded to a round number (\$101.07 → \$100), stated as a 12-month horizon reference. Risk ratings (Low / Medium / Medium-High / High) combine business volatility, balance-sheet strength, and valuation; High here reflects extreme revenue cyclicality and structural take-rate pressure against a strong net-cash balance sheet.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.